

PROFORMA

BANK GUARANTEE FOR SD FOR BUILDING/STP

(To be furnished on Rs.100/- Stamp Paper – purchased by issuing Bank)

DEED OF GUARANTEE

THIS DEED OF GUARANTEE executed at Chennai on this the day of 201 between constituted under the Banking / Companies Act 1956 represented by its Authorised Signatory _____ Chief Manager and _____ Assistant Manager, having its office at _____ . hereinafter called and referred to as the “GUARANTOR” of the ONE PART;

and

CHENNAI METROPOLITAN DEVELOPMENT AUTHORITY a statutory body constituted under the Tamil Nadu Town and Country Planning Act, 1972 represented by its Member-Secretary, having its office at No.1, Gandhi Irwin Road, Egmore, Chennai 600 008 hereinafter called and referred as “CMDA” of the OTHER PART;

The terms “GUARANTOR” and the “CMDA” shall mean and include all their respective heirs, executors, administrators, authorized officials, legal representative and assigns wherever the context so means.

WHEREAS _____ having their office at _____ represented by its _____ son/wife of _____ aged about years hereinafter referred to as “THE APPLICANT” has applied for Planning Permission for development of the property situated at _____ to CMDA.

WHEREAS the CMDA has directed the applicant to deposit a sum of Rs. _____ (Rupees _____ only) as Security Deposit for Building/STP vide their letter reference No. _____ dated _____.

AND WHEREAS the applicant has come forward to furnish Bank Guarantee for a sum of Rs. _____ (Rupees _____ only) in lieu of Security Deposit for Building/STP to CMDA and accept Bank Guarantee in lieu of cash payment for a sum of Rs. _____ (Rupees _____ only) as Security Deposit for Building/STP for issue of Planning Permission in the reference number above mentioned.

NOW THIS DEED OF GUARANTEE WITNESSETH AS FOLLOWS:

1. The GUARANTOR hereby undertakes and guarantees to pay to CMDA the amount of Rs. _____ (Rupees _____ only) hereinafter referred to as the “GUARANTEED AMOUNT” for and on behalf of the applicant in the manner provided below.
2. The GUARANTEE shall be enforceable by CMDA on demand at any time before the expiry of the period specified herein.
3. The BANK GUARANTEE in lieu of cash towards Security Deposit for the Building, Sewage Treatment (STP) and Display Board provided, the applicant remits 9% of interest advance for the total Bank Guarantee amount for a period of 5 years (PP validity period) in cash along with the Bank Guarantee.
4. The GUARANTOR fails to honour the guarantee as aforesaid for any reason whatsoever the Guarantor shall pay to the CMDA, interest at 12% p.a. of daily rate along with the guaranteed amount and this Guarantee shall be deemed to be valid and extended upto the date on which all the liabilities are fully discharged.

5. The Guarantor hereby undertakes to pay without question to the CMDA the guaranteed amount in full within three days after the receipt of a letter from CMDA, stating that the construction put up by the applicant which is the subject matter of this Guarantee is not in accordance with the plan sanctioned by CMDA and the Guaranteed amount has thus become payable.

6. Notwithstanding anything contained above, the Guarantor hereby agrees, without question to transfer the Guaranteed amount to CMDA's account, invoking the Bank Guarantee in favour of CMDA on or before expiry of the Bank Guarantee unless or otherwise CMDA write a letter to the Guarantor Bank to discharge the Bank Guarantee amount by certifying that the Applicant had obtained the "COMPLETION CERTIFICATE" for refund of Security Deposit.